LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

THREE MONTH PERIOD ENDED 30 JUNE 2014

Lanka Orix Leasing Company PLC
Interim Financial Statements
Three month period ended 30 June 2014

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Lanka Orix Leasing Company PLC
Statement of financial position

Group	Company		Group		Company	
31-Mar-14	**31-Mar-14**	*As at*	**30-Jun-14**	**30-Jun-13**	**30-Jun-14**	**30-Jun-13**
Rs. '000	**Rs. '000**		**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Un-audited	**Un-audited**		**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
		Assets				
5,173,496	94,205	Cash and cash equivalents	5,150,391	8,690,241	33,251	1,008,621
885,802	536,325	Trading assets - fair value through profit or loss	836,277	2,440,751	510,036	858,916
16,172,946	382,733	Investment securities	16,791,095	12,309,796	407,739	454,577
36,259,242	1,069	Finance lease receivables, hire purchases and operating leases	35,955,929	37,467,965	2,481	19,333
54,285,641	1,513,662	Advances and other loans	57,577,315	52,554,609	1,354,212	2,064,617
449,589	-	Insurance premium receivables	445,784	360,352	-	-
1,868,626	44,435	Inventories	1,683,157	2,056,122	104,868	26,484
1,103,421	186,559	Current tax assets	446,322	944,955	-	-
6,359,820	2,826,612	Trade and other current assets	8,228,908	7,018,992	3,415,326	10,968,969
51,088	-	Prepaid lease rentals on leasehold properties	50,278	53,518	-	-
6,655,490	331,500	Investment properties	6,918,569	6,587,748	331,500	247,500
-	-	Real estate stocks	-	2,598	-	-
		Investments in group of companies;				
-	32,624,979	Subsidiary companies	-	-	32,724,978	29,832,794
6,402,896	14,298	Joint venture companies	6,422,297	6,421,339	14,298	14,298
13,472,318	7,009,249	Equity accounted investees - Associates	13,982,720	10,605,642	7,535,124	7,073,907
313,171	-	Deferred tax assets	311,969	554,841	-	65,178
722,549	142,276	Intangible assets	707,586	770,269	135,191	119,898
21,510,363	3,546,245	Property, plant and equipment	21,672,106	18,301,834	3,526,278	2,919,300
171,686,458	**49,254,147**	**Total assets**	**177,180,703**	**167,141,572**	**50,095,282**	**55,674,392**
		Liabilities and equity				
		Liabilities				
2,819,302	399,689	Bank overdrafts	3,196,427	5,882,494	142,277	938,056
405,434	6,443	Trading liabilities - fair value through profit or loss	167,063	90,658	-	-
49,614,880	-	Deposits liabilities	53,278,629	36,532,721	-	-
65,548,888	13,853,920	Interest bearing borrowings	63,260,538	68,876,874	15,330,629	21,087,946
271,792	-	Insurance provision - life	293,427	135,919	-	-
1,248,685	-	Insurance provision - general	1,238,341	967,390	-	-
1,058,725	179,186	Current tax payables	634,504	987,066	97,150	56,851
3,277,069	529,238	Trade and other payables	6,654,188	8,179,500	169,858	755,942
2,220,836	7,282	Deferred tax liabilities	2,218,434	1,676,070	7,283	-
11,388	-	Deferred income	29,278	39,989	-	-
355,197	149,112	Retirement benefit obligations	363,161	288,995	150,141	99,421
126,832,196	**15,124,870**	**Total liabilities**	**131,333,990**	**123,657,676**	**15,897,338**	**22,938,216**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
5,357,905	1,509,262	Reserves	5,323,609	2,059,478	1,533,531	768,860
17,069,012	32,144,815	Retained earnings	17,995,424	18,200,072	32,189,213	31,492,116
22,902,117	**34,129,277**	**Equity attributable to shareholders of the Company**	**23,794,233**	**20,734,750**	**34,197,944**	**32,736,176**
21,952,145	-	Non-controlling interests	22,052,480	22,749,146	-	-
44,854,262	**34,129,277**	**Total equity**	**45,846,713**	**43,483,896**	**34,197,944**	**32,736,176**
171,686,458	**49,254,147**	**Total liabilities & equity**	**177,180,703**	**167,141,572**	**50,095,282**	**55,674,392**
48.19	**71.82**	**Net assets per share (Rs.)**	**50.07**	**43.63**	**71.97**	**68.89**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd
Mrs. R.L. Nanayakkara
Chairperson
07th August 2014, Rajagiriya (Greater Colombo)

Sgd
Mr. I.C. Nanayakkara
Deputy Chariman

Lanka Orix Leasing Company PLC
Income Statement

For the three month period ended 30 June	Group 2014 Rs. '000	Group 2013 Rs. '000	Group Variance %	Company 2014 Rs. '000	Company 2013 Rs. '000	Company Variance %
Gross income	**9,397,454**	**10,270,414**	**(8)**	**576,248**	**955,764**	**(40)**
Revenue	2,268,378	2,919,642	(22)	-	-	-
Less: cost of sales	(1,647,164)	(2,212,234)	(26)	-	-	-
Gross profit	**621,214**	**707,408**	**(12)**	**-**	**-**	**-**
Income	6,800,436	6,342,308	7	207,656	538,242	(61)
Other income/(expenses)	328,640	1,008,464	(67)	368,592	417,522	(12)
Net finance costs	(3,365,747)	(4,213,961)	(20)	(397,252)	(800,816)	(50)
Profit before operating expenses	**4,384,543**	**3,844,219**	**14**	**178,996**	**154,948**	**16**
Operating expenses						
Direct expenses excluding finance costs	(935,797)	(803,516)	16	(6,115)	(28,729)	(79)
Personnel costs	(894,973)	(695,155)	29	(25,582)	(29,078)	(12)
Net impairment (loss) / reversal on financial assets	(878,816)	(827,259)	6	(2,675)	11,330	(124)
Depreciation and amortization	(234,517)	(203,136)	15	(78,839)	(72,662)	9
Other operating expenses	(509,931)	(559,629)	(9)	(21,387)	(21,129)	1
Results from operating activities	**930,509**	**755,524**	**23**	**44,398**	**14,680**	**202**
Share of profits of equity accounted investees	423,319	128,563	229	-	-	-
Gains on bargain purchases (negative goodwill)	-	50,343	(100)	-	-	-
Profit before income tax expense	**1,353,828**	**934,430**	**45**	**44,398**	**14,680**	**202**
Income tax expense	(341,354)	(240,492)	42	-	-	-
Profit for the period	**1,012,474**	**693,938**	**46**	**44,398**	**14,680**	**202**
				-		

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

For the three month period ended 30 June	Group 2014 Rs.	Group 2013 Rs.	Company 2014 Rs.	Company 2013 Rs.
Profit for the period	**1,012,474**	**693,938**	**44,398**	**14,680**
Other comprehensive income				
Net change in fair value of available-for-sale financial assets	108,097	(988,487)	-	(1,942)
Net movement of cash flow hedges	(126,932)	(7,241)	24,269	2,850
Foreign currency translation differences for foreign operations	(826)	-	-	-
Other comprehensive income/ (expense) for the year, net of tax	**(19,661)**	**(995,728)**	**24,269**	**908**
Total comprehensive income for the year	**992,813**	**(301,790)**	**68,667**	**15,588**
Profit attributable to;				
Equity holders of the Company	926,460	152,456	44,398	14,680
Non-controlling interests	86,014	541,482	-	-
Profit for the period	**1,012,474**	**693,938**	**44,398**	**14,680**
Tota comprehensive income attributable to;				
Equity holders of the Company	892,314	(136,902)	68,667	15,588
Non-controlling interests	100,499	(164,888)	-	-
Total comprehensive income for the year	**992,813**	**(301,790)**	**68,667**	**15,588**
Basic earnings per share	**1.95**	**0.32**		

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the three month period ended 30 June 2014

	Equity attibutable to the shareholders of the Company						
Company	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Future Taxation Reserve**	**Retained Earnings**	**Total**
	Rs. '000	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**	**Rs. '000**
Balance as at 01 April 2013	**475,200**	**600,887**	**25,962**	**(63,897)**	**205,000**	**31,477,436**	**32,720,588**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	14,680	**14,680**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	(1,942)	-	-	**(1,942)**
Net movement of cash flow hedges	-	-	2,850	-	-	-	**2,850**
Total comprehensive income for the period	-	-	2,850	(1,942)	-	14,680	**15,588**
Balance as at 30 June 2013	**475,200**	**600,887**	**28,812**	**(65,839)**	**205,000**	**31,492,116**	**32,736,176**
Balance as at 01 April 2014	**475,200**	**1,300,116**	**4,146**	**-**	**205,000**	**32,144,815**	**34,129,277**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	44,398	**44,398**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	-	-	-	**-**
Net movement of cash flow hedges	-	-	24,269	-	-	-	**24,269**
Total comprehensive income for the period	**-**	**-**	**24,269**	**-**	**-**	**44,398**	**68,667**
Balance as at 30 June 2014	**475,200**	**1,300,116**	**28,415**	**-**	**205,000**	**32,189,213**	**34,197,944**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the three month period ended 30 June 2014

Group	Equity Attributable to the Owners of the Company											
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total	Non-controlling Interests	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 01 April 2013	**475,200**	**1,047,927**	**48,355**	**(694,007)**	**118,772**	**205,000**	**1,035,296**	**507,435**	**18,144,262**	**20,888,240**	**22,484,518**	**43,372,758**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	152,456	**152,456**	541,482	**693,938**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	(284,135)	-	-	-	-	-	**(284,135)**	(704,352)	**(988,487)**
Net movement of cash flow hedges	-	-	(5,223)	-	-	-	-	-	-	**(5,223)**	(2,018)	**(7,241)**
Total comprehensive income for the period	**-**	**-**	**(5,223)**	**(284,135)**	**-**	**-**	**-**	**-**	**152,456**	**(136,902)**	**(164,888)**	**(301,790)**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(13,498)	**(13,498)**
Adjustments due to changes in group holdings and other consolidation adjustments	-	-	-	-	-	-	-	-	(16,643)	**(16,643)**	442,854	**426,211**
Reversal of deferred tax	-	55	-	-	-	-	-	-	-	**55**	160	**215**
Transfers to statutory reserve fund	-	-	-	-	-	-	29,607	-	(29,607)	**-**	-	**-**
Transfers to investment fund	-	-	-	-	-	-	-	50,546	(50,546)	**-**	-	**-**
Depreciation transfer on revaluation	-	(150)	-	-	-	-	-	-	150	**-**	-	**-**
Balance as at 30 June 2013	**475,200**	**1,047,832**	**43,132**	**(978,142)**	**118,772**	**205,000**	**1,064,903**	**557,981**	**18,200,072**	**20,734,750**	**22,749,146**	**43,483,896**
Balance as at 31 March 2014	**475,200**	**2,752,543**	**28,394**	**167,018**	**161,493**	**205,000**	**1,290,782**	**752,675**	**17,069,012**	**22,902,117**	**21,952,145**	**44,854,262**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	926,460	**926,460**	86,014	**1,012,474**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	73,872	-	-	-	-	-	**73,872**	34,225	**108,097**
Net movement of cash flow hedges	-	-	(107,192)	-	-	-	-	-	-	**(107,192)**	(19,740)	**(126,932)**
Foreign currency translation differences for foreign operations	-	-	-	-	(826)	-	-	-	-	**(826)**	-	**(826)**
Total comprehensive income for the period	**-**	**-**	**(107,192)**	**73,872**	**(826)**	**-**	**-**	**-**	**926,460**	**892,314**	**100,499**	**992,813**
Depreciation transfer on revaluation	-	(150)	-	-	-	-	-	-	150	**-**	-	**-**
Share issue cost of subsidiairy companies	-	-	-	-	-	-		-	(198)	**(198)**	(164)	**(362)**
Balance as at 30 June 2014	**475,200**	**2,752,393**	**(78,798)**	**240,890**	**160,667**	**205,000**	**1,290,782**	**752,675**	**17,995,424**	**23,794,233**	**22,052,480**	**45,846,713**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the three month period ended 30 June	Group 2014	Group 2013	Company 2014	Company 2013
	(Rs.)	**(Rs.)**	**(Rs.)**	**(Rs.)**
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	1,353,828	934,430	44,398	14,680
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(5,891)	(11,153)	(5,874)	(11,153)
Depreciation and amortization	234,517	203,136	78,839	72,662
Insurance provision	11,291	59,120	-	-
Change in fair value of forward contracts	(6,158)	3,449	-	-
Provision for gratuity	10,522	13,147	2,584	2,580
Net impairment (loss) / reversal on financial assets	878,816	827,259	2,675	(11,330)
Provision for fall/(increase) in value of investments	(54,075)	(26,873)	(46,927)	(17,399)
Investment Income	(379,367)	(341,192)	(2,901)	(2,190)
Net finance costs	3,365,747	4,213,961	397,252	800,816
(Profit)/loss on sale of quoted and non-quoted shares	(16,300)	(875,335)	40,360	113
Share of profits of equity accounted investees	(423,319)	(128,563)	-	-
Gains on bargain purchases (negative goodwill)	-	(50,343)	-	-
Operating profit before working capital changes	**4,969,611**	**4,821,043**	**510,406**	**848,779**
Working capital changes				
Increase/(decrease) in trade and other payables	3,015,527	2,382,964	(228,664)	(98,185)
(Increase)/decrease in investment in leases, hire purchase and others	(362,756)	307,397	1,412	31,018
(Increase)/decrease in investment in advances and other loans	(3,504,421)	(3,342,544)	91,143	452,131
(Increase)/decrease in premium receivables	3,805	(56,921)	-	-
(Increase)/decrease in inventories	185,469	417,841	(60,432)	(26,484)
(Increase)/decrease in trade and other receivables	(1,869,914)	(1,954,730)	-	-
(Increase)/decrease in customer deposits	3,663,749	2,255,015	(402,751)	(2,479,201)
Cash generated from operations	**6,101,070**	**4,830,065**	**(88,886)**	**(1,271,942)**
Finance cost paid	(3,124,491)	(3,700,564)	(550,041)	(787,865)
Income tax and Economic Service Charge paid	(107,206)	(165,610)	(666)	(24,053)
Defined benefit plan costs paid	(2,558)	(7,553)	(1,555)	-
Net cash from/(used in) operating activities	**2,866,815**	**956,338**	**(641,148)**	**(2,083,860)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(100,000)	(36,469)
Net cash and cash equivalents on acquisition of subsidiary	-	(505,281)	-	-
Investment in equity accounted investees	-	(419,874)	(525,874)	(117,118)
Acquisition of non-controlling interests	-	(4,212)	-	-
Acquisition of property, plant and equipment	(674,636)	(323,769)	(43,170)	(87,269)
Acquisition / (Disposal) of intangible assets	9,897	(23,519)	7,085	(21,439)
Net additions to trading assets	13,032	(833,993)	(737)	2,461
Net additions to investment securities	(510,052)	362,169	32,854	(36,534)
Proceeds from the sale of property, plant and equipment	32,266	11,447	9,980	11,447
Interest received	374,807	381,076	390	545
Dividend received	4,560	74,222	2,511	1,645
Net cash flow from investing activities	**(750,126)**	**(1,281,734)**	**(616,961)**	**(282,731)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	165,236	4,699,163	1,878,552	3,514,256
Principal repayment under finance lease liabilities	(31,024)	(23,433)	(22,143)	(15,627)
Proceeds from long-term interest bearing loans and borrowings	78,455	3,066,343	45,130	208,290
Repayments of long-term interest bearing loans and borrowings	(2,747,476)	(4,231,853)	(446,972)	(625,074)
Dividends paid to non-controlling interests	-	(13,498)	-	-
Receipt of Deferred Income	17,890	8,196	-	-
Net cash generated from financing activities	**(2,516,919)**	**3,504,918**	**1,454,567**	**3,081,845**
Net increase/(decrease) in cash and cash equivalents during the year	(400,230)	3,179,522	196,458	715,254
Cash and cash equivalents at the beginning of the year	2,354,194	(371,775)	(305,484)	(644,689)
Cash and cash equivalents at the end of the year	**1,953,964**	**2,807,747**	**(109,026)**	**70,565**
Analysis of cash and cash equivalents at the end of the year				
Cash in Hand and Favorable Bank Balances	5,150,391	8,690,241	33,251	1,008,621
Unfavorable Bank Balances used for cash management purposes	(3,196,427)	(5,882,494)	(142,277)	(938,056)
	1,953,964	**2,807,747**	**(109,026)**	**70,565**

Lanka Orix Leasing Company PLC
Notes to the Interim Financial Statements

1. The Statement of Financial Position as at 30 June 2014, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the three month period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries, associates and joint ventures and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2. Accounting policies and methods of computation as stated in the Financial Statements for 2013/14 are followed in the preparation of these Interim Financial Statements.

3. Revenue includes revenue from trading, manufacturing, plantation and other activities of the Group.

4. Income represents the income receivable for the period on all performing contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5. Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6. All expenses related to management expenditure is fully provided for in the financial statements.

7. There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2014.

8. No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.

9. Market prices of ordinary shares recorded during the quarter ended 30th June 2014 are as follows;

	Rs.
Closing price	91.80
Highest Price	93.00
Lowest Price	75.00

10. Information on Company's listed debentures

- Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 27 June 2014.

	Buying	Selling
4 Year Bond		
Price	100.65	100.86
Yield	8.30%	8.24%
5 Year Bond		
Price	107.48	107.67
Yield	8.72%	8.68%

Debt to equity	0.46	times
Interest cover	1.11	times

11 Adoption of SLFRS 11 - Joint Arrangements in 2014/15 - Free Lanka Group

SLFRS 11 Joint Arrangements, which replaces LKAS 31 - Interests in Joint Ventures and SIC-13 Jointly Controlled Entities - Non-Monetary Contributions by Ventures. SLFRS 11 also amends LKAS 28 Investments in Associates.

The main changes from LKAS 31 to SLFRS 11

There was an option given by ICASL, for jointly controlled entities, between proportionate consolidation and the equity method. The new standard is on the basis that proportionate consolidation is not appropriate in the absence of rights/obligations directly to/for the underlying assets/obligations of the arrangement.

Based on the new standard, accounting for joint ventures should be changed from proportionate consolidation which was allowed in LKAS 31 to equity accounting.

Current method applied at LOLC Group

From the point of acquisition, LOLC accounted for Free Lanka Group using proportionate consolidation as allows by LKAS 31. Proportionate consolidation allowed to account the proportion of assets, liabilities, income and expense of the joint venture in the investor's financial statements.

New treatment

As per the SLFRS 11, the method of accounting should be changed to equity method where only the net assets movement of Joint venture are recorded in the investor's financial statements. The change in accounting method will affect the respective line items of the statement of financial position (balance sheet) and the statement of comprehensive income (profit or loss).

In the statement of financial position, the respective assets and liabilities of the joint ventures are eliminated from the consolidated numbers and clustered though equity accounted investees where there will be no impact on the net assets of the consolidated financial statements. In the profit or loss, income and expenses of joint ventures are eliminated from the consolidations and the net profit of the joint venture will be accounted as the share of profit of equity accounted investees.

The full effect of the change in current method of accounting using proportionate consolidation and future equity method of accounting as follows;

	Group		
	As at 30 June 2013		
Statement of Financial Position	**Previously reported Rs.' 000**	**SLFRS 11 Adjustment Rs.' 000**	**Reinstated Rs.' 000**
Assets			
Cash in hand and favorable bank balances	8,862,280	(172,039)	8,690,241
Trading assets - fair value through profit or loss	2,451,303	(10,552)	2,440,751
Investment securities	12,669,291	(359,495)	12,309,796
Finance lease receivables, hire purchases and operating leases	37,467,965	-	37,467,965
Advances and other loans	52,554,609	-	52,554,609
Insurance premium receivables	360,352	-	360,352
Inventories	2,353,995	(297,873)	2,056,122
Current tax assets	944,955	-	944,955
Trade and other current assets	7,873,061	(854,069)	7,018,992
Prepaid lease rentals on leasehold properties	295,765	(242,247)	53,518
Investment properties	6,723,748	(136,000)	6,587,748
Real estate stocks	2,598	-	2,598
Biological assets;			
Consumer biological assets	2,870,182	(2,870,182)	-
Bearer biological assets	3,676,939	(3,676,939)	-
Investments in group of companies;			
Subsidiary companies	-	-	-
Joint venture companies	-	6,421,339	6,421,339
Equity accounted investees - Associates	10,605,642	-	10,605,642
Deferred tax assets	555,343	(502)	554,841
Intangible assets	787,069	(16,800)	770,269
Property, plant and equipment	19,521,069	(1,219,235)	18,301,834
Total assets	**170,576,166**	**(3,434,594)**	**167,141,572**
Liabilities and equity			
Liabilities			
Bank overdrafts	6,005,389	(122,895)	5,882,494
Trading liabilities - fair value through profit or loss	90,658	-	90,658
Deposits liabilities	36,532,721	-	36,532,721
Interest bearing borrowings	69,417,757	(540,883)	68,876,874
Insurance provision - life	135,919	-	135,919
Insurance provision - general	967,390	-	967,390
Current tax payables	1,019,638	(32,572)	987,066
Trade and other payables	9,459,977	(1,280,477)	8,179,500
Deferred tax liabilities	2,133,536	(457,466)	1,676,070
Deferred income	304,332	(264,343)	39,989
Retirement benefit obligations	1,024,953	(735,958)	288,995
Total liabilities	**127,092,270**	**(3,434,594)**	**123,657,676**
Equity			
Stated capital	475,200	-	475,200
Reserves	2,059,478	-	2,059,478
Retained earnings	18,200,072	-	18,200,072
Equity attributable to shareholders of the Company	**20,734,750**	**-**	**20,734,750**
Non-controlling interests	22,749,146	-	22,749,146
Total equity	**43,483,896**	**-**	**43,483,896**
Total liabilities & equity	**170,576,166**	**(3,434,594)**	**167,141,572**

	Group		
	Year Ended 31 March 2014		
Statement of Comprehensive Income	**Previously reported Rs.' 000**	**SLFRS 11 Adjustment Rs.' 000**	**Reinstated Rs.' 000**
Gross income	**11,106,719**	**(836,305)**	**10,270,414**
Revenue	3,767,649	(848,007)	2,919,642
Less: cost of sales	(2,731,132)	518,898	(2,212,234)
Gross profit	**1,036,517**	**(329,109)**	**707,408**
Income	6,381,828	(39,520)	6,342,308
Other income/(expenses)	957,242	51,222	1,008,464
Finance costs	(4,244,654)	30,693	(4,213,961)
Profit before operating expenses	**4,130,933**	**(286,714)**	**3,844,219**
Operating expenses			
Direct expenses excluding finance costs	(811,204)	7,688	(803,516)
Personnel costs	(974,752)	279,597	(695,155)
Net impairment loss on financial assets	(827,259)	-	(827,259)
Depreciation and amortization	(228,855)	25,719	(203,136)
Other operating expenses	(594,659)	35,030	(559,629)
Results from operating activities	**694,204**	**61,320**	**755,524**
Share of profits of equity accounted investees	189,883	(61,320)	128,563
Gains on bargain purchases (negative goodwill)	50,343	-	50,343
Profit before income tax expense	**934,430**	**-**	**934,430**
Income tax expense	(240,492)	-	(240,492)
Profit for the year	**693,938**	**-**	**693,938**

Lanka ORIX LEASING Company PLC
SEGMENTAL INFORMATION

For the three month period ended 30 June 2014	**Financial Services**	**Insurance**	**Trading**	**Leisure**	**Others/ (adjustments)**	**Total**
	Rs.	**Rs.**	**Rs.**	**Rs.**	**Rs.**	**Rs.**
Gross income	7,075,146	545,226	2,353,629	207,190	(783,737)	**9,397,454**
Net finance costs	(3,128,558)	-	(160,358)	(128,019)	51,188	**(3,365,747)**
Cost of sales	-	-	(1,657,977)	(41,674)	52,487	**(1,647,164)**
Profit before operating expenses	**3,946,588**	**545,226**	**535,294**	**37,497**	**(680,062)**	**4,384,543**
Operating expenses	(2,799,372)	(534,892)	(387,151)	(213,830)	481,211	**(3,454,034)**
Results from operating activities	**1,147,216**	**10,334**	**148,143**	**(176,333)**	**(198,851)**	**930,509**
Share of profits of equity accounted investees	**-**	**-**	**-**	**-**	423,319	**423,319**
Profit before taxation	**1,147,216**	**10,334**	**148,143**	**(176,333)**	**224,468**	**1,353,828**
For the three month period ended 30 June 2013						
Gross income	7,028,834	372,011	3,830,818	173,863	(1,135,112)	10,270,414
Net finance costs	(3,942,029)	-	(383,445)	(62,715)	174,228	(4,213,961)
Cost of sales	-	-	(2,178,115)	(30,770)	(3,349)	(2,212,234)
Profit before operating expenses	3,086,805	372,011	1,269,258	80,378	(964,233)	3,844,219
Operating expenses	(2,414,663)	(310,934)	(643,457)	(259,815)	540,174	(3,088,695)
Results from operating activities	672,142	61,077	625,801	(179,437)	(424,059)	755,524
Share of profits of equity accounted investees	-	-	-	-	128,563	128,563
Gains on bargain purchases (negative goodwill)	-	-	-	-	50,343	50,343
Profit before taxation	672,142	61,077	625,801	(179,437)	(245,153)	934,430

For the three month period ended 30 June 2014	**Financial Services**	**Insurance**	**Trading**	**Leisure**	**Others/ (adjustments)**	**Total**
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Net impairment (loss) / reversal on financial assets	878,816	-	-	-	-	**878,816**
Depreciation and amortization	101,392	17,888	54,510	48,529	12,198	**234,517**
Total assets (as at 30 June 2014)	149,371,059	2,767,240	23,346,547	21,197,861	(19,502,004)	**177,180,703**
Total liabilities (as at 30 June 2014)	116,472,085	1,889,758	10,634,448	6,905,126	(4,567,427)	**131,333,990**
For the three month period ended 30 June 2013						
Net impairment (loss) / reversal on financial assets	827,259	-	-	-	-	**827,259**
Depreciation and amortization	90,228	3,653	44,249	40,527	24,479	**203,136**
Total assets (as at 30 June 2013)	146,767,168	1,903,793	23,044,970	17,644,214	(22,218,573)	**167,141,572**
Total liabilities (as at 30 June 2013)	117,206,009	1,280,017	12,703,291	3,494,620	(11,026,261)	**123,657,676**

Lanka ORIX LEASING Company PLC

STATEMENT OF DIRECTORS' HOLDING AND CHIEF EXECUTIVE OFFICER'S HOLDING IN SHARES OF THE ENTITY AS AT 30TH JUNE 2014

Directors Name	No of shares	%
Mrs. R L Nanayakkara *Chairperson*	-	-
Mr. I C Nanayakkara *Deputy Chairman*	59,895,500	12.604
Deshamanya M D D Pieris	-	-
Mr. R A Fernando	12,600	0.003
Mrs. K U Amarasinghe	23,760,000	5.000
Mr. R M Nanayakkara	172,492,292	36.299
Mr. W D K Jayawardena *Managing Director / Group CEO*	-	-
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-
Mr. S Yamana (Alternate Director to Mr H Yamaguchi)	-	-
Mrs. K Mori (Alternate Director to Mr H Nishio)	-	-

TOP 20 SHAREHOLDERS AS AT 30TH JUNE 2014

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN	6,937,775	1.460
8	Dr. R R De Silva	4,319,369	0.909
9	Employees Trust Fund Board	3,407,737	0.717
10	Mrs. I Nanayakkara	2,827,948	0.595
11	Bank of Ceylon - No 2 Account	1,546,000	0.325
12	Mr. M Radhakrishnan	1,500,000	0.316
13	HSBC - Mr. R C De Silva	1,150,000	0.242
14	Mr. G G Ponnambalam	1,044,960	0.220
15	Dr M Ponnambalam	1,044,960	0.220
16	Swastika Mills Ltd	1,006,800	0.212
17	Mr. R C De Silva	1,000,000	0.210
18	Mrs. S N Fernando	818,440	0.172
19	Mr. S Nadesan	660,000	0.139
20	National Savings Bank	606,900	0.128
		453,882,413	**95.514**

The Public Sharehoding as at 30th June 2014 was 15.50%